STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

At a session of the Public Service Commission held in the City of Albany on March 16, 2023

COMMISSIONERS PRESENT:

Rory M. Christian, Chair
Diane X. Burman, dissenting
James S. Alesi
Tracey A. Edwards
John B. Howard
David J. Valesky
John B. Maggiore

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

ORDER DENYING COST RECOVERY FOR THE VAPORIZERS 13 & 14 PROJECT

(Issued and Effective March 16, 2023)

BY THE COMMISSION:

INTRODUCTION

On August 29, 2022, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) submitted for approval in these proceedings the "Greenpoint Vaporizers 13&14 Long Term Capacity Project Report" (Petition), in which it seeks Commission approval of the cost recovery associated with adding two additional vaporizers, numbers 13 and 14, for the purpose of injecting gas from the Greenpoint LNG plant into KEDNY's 60 pounds per square inch gauge (psig) system (Vaporizers 13 & 14 Project or Project). The Petition states that the Project is

needed by winter 2026/27 to help meet forecasted peak customer demand.[1] Consistent with the process set forth in the rate order issued in these proceedings (Rate Order),[2] a consultant independent of KEDNY, PA Consulting Group, Inc. (PA), assessed the need for the Project to meet a reasonable forecast of peak demand. PA concluded that the Project is not needed by the winter 2026/27; however, it found that the Project may be needed two years later by winter 2028/29.[3]

By this Order, the Commission denies the Petition based on its determination that the Project is not needed to meet a reasonable forecast of peak demand in winter 2026/27. In making this determination, the Commission relies on, among other things, PA's evaluation of an updated demand forecast completed by KEDNY in Spring 2022, showing that design day demand for the winter of 2022-2023 decreased from 2,966 thousand dekatherms (MDth) per day to 2,812 MDth per day, a reduction of 154 MDth per day or 5.2 percent. Nevertheless, in recognition of the fact that the Project may still be needed to meet peak demand after the winter 2026/27 timeframe, the Commission finds that KEDNY must redouble its efforts on energy efficiency and other demand side management programs to further delay or entirely avoid the need for the Project. To be clear, the Commission denial of the request is made without prejudice for KEDNY to refile a petition if, consistent with the process established in the Rate Order, the Company makes a showing that both the demand forecast has changed to the extent of providing a firm basis

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[1] Petition, p. 33.

[2] Cases 19-G-0309 and 19-G-0310, Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (issued August 12, 2021), p. 122.

[3] Cases 19-G-0309 and 19-G-0310, PA Consulting's Review of National Grid's Greenpoint Vaporizer 13 & 14 Report (filed October 27, 2022) (PA Report), p. 10.

regarding the need for the Project and it made the required effort in implementing its energy efficiency and other demand side management programs. Finally, for the reasons discussed in the body of this Order, the Commission grants KEDNY's request to recover approximately $10.5 million in design, engineering, permitting, and consultant costs through the Demand Capacity Surcharge Mechanism (DCSM) over a 12-month period beginning July 1, 2023.

BACKGROUND

Capital Capacity Project Review Process

The Rate Order adopted the terms of the Joint Proposal filed on May 14, 2021, with modifications and established rate plans for KEDNY and its affiliate, KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, National Grid or the Companies). Among other things, the Joint Proposal set forth a process for additional review of certain identified Long-Term Capital Capacity Projects (Capacity Projects), including the Vaporizers 13 & 14 Project.

The Rate Order provided that the Companies could seek recovery of the revenue requirement associated with the Capacity Projects through the DCSM.[4] The Rate Order specifies that the Companies can recover the costs of a Capacity Project if the Commission finds that both meeting reasonably forecasted peak customer demand requires the implementation of the project and alternatives that could sufficiently meet, reduce, or eliminate the demand cannot reasonably be expected to be available and operational in the timeframes necessary for a lower all-in cost.[5] In the context of the review of a Capacity Project, references

[4] Rate Order, Attachment 1 (Joint Proposal), p. 42.

[5] Rate Order, Attachment 1 (Joint Proposal), p. 45.

to a forecast of peak customer demand should be understood as a forecast of design day demand or the forecast of demand at the conditions for which a gas system is designed. The design day for KEDNY's system is a day where the average of the high and low temperature is zero degrees Fahrenheit in Central Park.[6] In other contexts the peak day demand in an individual winter season represents the day with the highest 24-hour load in that winter, as opposed to design day demand which represents the demand on the coldest day that the system is designed to serve all firm customers.

In adopting this process, the Rate Order noted that "the Joint Proposal provides for additional process steps to confirm the desirability for pursuing these projects, not a process that supplants Commission review, which we are providing in this Order here."[7] Further, the Rate Order explained that "[w]e find that these provisions of the Joint Proposal are reasonably calculated to address future capacity needs and PSL §65(1)'s mandate that the Companies provide safe and adequate service at just and reasonable rates will be met."[8]

The process specified in the Rate Order is to begin with one or both of the Companies making an initial filing requesting cost recovery approval for a particular project. The next step is for stakeholders to comment on the project within 30 days of the Companies' initial filing. The process also requires the Companies to hold at least one stakeholder meeting to hear community feedback during the 30-day comment period.[9] With regard to the Project at issue here, the Department held

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[6] In this context, a day is the 24-hour gas day, which starts at 10:00 a.m. Eastern Standard Time.

[7] Rate Order, p. 121.

[8] Rate Order, p. 122.

[9] Rate Order, Attachment 1 (Joint Proposal), p. 44.

four public statement hearings to receive oral comments from stakeholders. Stakeholders also had the opportunity to submit written comments within 60 days of the publication of a notice of proposed rulemaking in the State Register.

The Rate Order further specifies that, within 45 days of the initial filing related to a specific project, an independent consultant selected by Staff of the Department of Public Service (Staff) is required to provide an engineering assessment of the need for the project.[10] Staff selected PA to conduct the engineering assessment associated with the Project at issue here, as well as other Capacity Projects.[11]

The Rate Order requires the independent consultant to consider the following criteria in making its engineering assessment of the need for a specific project: (1) the Companies' need for the specific project to meet a reasonable forecast of customers' peak demand, based on the Companies' most recent forecast available; (2) any safety and/or reliability benefits from the project; (3) viable alternatives to the project that would ensure reliable service in the applicable timeframe; (4) the all-in cost of the project and a comparison of the all-in cost of viable alternatives; (5) the greenhouse gas (GHG) emissions attributable to the project and any viable alternatives; and (6) comments and analysis submitted by intervening parties and the public.[12] Ultimately, the standard to be applied in establishing the need for a Capacity Project is

[10] Rate Order, Attachment 1 (Joint Proposal), p. 44. On October 13, 2022, the Secretary granted PA's request for a 14-day extension of the deadline for filing its report regarding the Project.

[11] 19-G-0309 and 19-G-0310, Cover Letter and Independent Consultant Agreement – Capacity Projects (filed November 12, 2021).

[12] Rate Order, Attachment 1 (Joint Proposal), p. 45.

whether a reasonable forecast of peak customer demand requires the implementation of the projects to meet that demand.[13] If there is a need, then to be allowed cost recovery for a Capacity Project, alternatives that could meet the demand (or reduce or eliminate it) cannot reasonably be expected to be available and operational in the timeframes necessary for a lower "All-In Cost."[14] The Joint Proposal provided that the review process would conclude with the independent consultant's report finding that the Capacity Project either was or was not needed.[15] However, the Rate Order provided that, within 60 days of the filing of the independent consultant's report, the Commission would determine whether or not the Companies could recover the costs of the Capacity Project through the DCSM.[16]

Further, the Rate Order conditions cost recovery on the Companies meeting Capacity Demand Metrics related to achieving energy efficiency targets, securing at least minimum enrollments in demand response programs, issuing requests for proposals for non-pipeline alternatives (NPAs), making at least a minimum number of referrals of prospective gas customers to the applicable electric utility for electrification, and identifying segments of leak-prone pipe that could be abandoned through NPAs. The Rate Order provides targets (or a methodology for calculating targets) for each Capacity Demand Metric and provides that, if the Companies fail to meet all of the metrics,

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[13] Rate Order, Attachment 1 (Joint Proposal), p. 45.

[14] Rate Order, Attachment 1 (Joint Proposal), p. 45.

[15] Rate Order, Attachment 1 (Joint Proposal), p. 47.

[16] Rate Order, pp. 122, 225. In its order regarding a prior Capacity Project, the Commission explained that it may take longer than 60 days to issue an order regarding future Capacity Projects. Cases 19-G-0309 and 19-G-0310, Order Authorizing Surcharge Related to the Southeast Suffolk Phase 1 Project (issued July 14, 2022) (SE Suffolk Order), p. 30.

then they would forgo all or a portion of the revenue requirements associated with a Capacity Project.[17]

Climate Leadership and Community Protection Act

The Climate Leadership and Community Protection Act (CLCPA) went into effect on January 1, 2020. Amongst its provisions, §7(2) requires that state agencies shall consider whether decisions, including "issuing permits, licenses, and other administrative approvals and decisions… are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits established in article 75 of the environmental conservation law [ECL]." Further, §7(2) requires that "[w]here such decisions are deemed to be inconsistent with or will interfere with the attainment of statewide greenhouse gas emissions limits, each agency … shall provide a detailed statement of justification as to why such limits/criteria may not be met and identify alternatives or greenhouse gas mitigation measures to be required where such project is located." Additionally, §7(3) requires that, in considering administrative approvals and decisions, state agencies "shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the [ECL]."

Description of the Vaporizers 13 & 14 Project

The Greenpoint LNG Plant is located at the Greenpoint Energy Center and has been in service since 1968. The LNG plant occupies 50 acres including approximately 1/4 mile of waterfront along the Newtown Creek. The plant has two LNG storage tanks with a total storage capacity of 1.6 billion standard cubic feet

[17] Rate Order, Attachment 1 (Joint Proposal), pp. 47-52.

(BCFs).[18] LNG is a non-pressurized cryogenic liquid that can be warmed from a liquid state to a gaseous state through a vaporizer and then injected into KEDNY's gas system when gas supply or pressure support is needed. The plant liquifies and stores gas from the KEDNY system during periods of warm weather and low demand. LNG is stored at the facility in two existing LNG storage tanks, which are not impacted by the Project. The plant vaporizes LNG to return gas to the system when it is needed through vaporizers connected to either KEDNY's 350 psig system – "high-pressure vaporizers" – or KEDNY's 60 psig system – "low-pressure vaporizers." Presently, the LNG plant has three high-pressure vaporizers, two of which can operate at any one time, and three low-pressure vaporizers, all three of which can operate at any one time.

The Project consists of two low-pressure vaporizers, designated as Vaporizers 13 & 14, and would bring the number of low-pressure vaporizers to five and the total number of vaporizers at the plant to eight. After the installation of Vaporizers 13 & 14, up to four of the five low-pressure vaporizers could operate at any one time.[19] The incremental vaporizer would increase the injection capacity from the facility into KEDNY's gas system from approximately 290 million standard cubic feet per day to approximately 350 million standard cubic feet per day. The Project would not add any additional LNG storage at the plant. Thus, although the increased vaporization capacity would enable KEDNY to use the LNG plant to meet higher peak demand, it would not change the

[18] One dekatherm (Dth) of natural gas is equal to one million Btus of energy content; 1,000 standard cubic feet of natural gas is approximately equal to 1.037 Dth.

[19] The fifth low-pressure vaporizer would be a spare available for reliability and maintenance purposes.

total potential output of the LNG plant as the use of the additional vaporizer would empty the storage tanks in less time.

In the Petition, KEDNY states it has implemented innovative energy efficiency and demand response programs as required under the Order Adopting and Approving Settlement.[20] It further explains that there remains a forecasted gas supply gap, and the Greenpoint Vaporizers are prudent and necessary to avoid future service restrictions.

The Petition states that securing an Air State Facility permit from the New York State Department of Environmental Conservation is the last step necessary before it can begin construction.[21] KEDNY explains that, "[o]nce permitted, the Project will take approximately 18 months to construct" and would be in service for the winter of 2024/25.[22] The Petition asserts that the Project is needed to meet design day demand in the winter of 2026/27 based on KEDNY's 2022 baseline forecast.[23]

Report of the Independent Consultant

On October 27, 2022, PA filed a report (PA Report) containing its analysis of the Vaporizers 13 & 14 Project. As required in the Rate Order, PA's analysis considered the six criteria established in the Rate Order to assess KEDNY's need for the Project to meet a reasonable forecast of customers' peak demand.

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[20] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, Order Adopting and Approving Settlement (issued November 26, 2019).

[21] Petition, p. 2.

[22] Petition, pp. 2-3.

[23] Petition, p. 26.

First, PA reviewed and ultimately modified KEDNY's projected supply stack. PA found that additional components should be added to the supply stack. As noted in the PA Report, KEDNY did not include in the projected supply stack gas associated with two existing contracts with co-generation operators (Cogens)): one representing 9.5 MDth per day of peaking capacity with Nissequogue Cogen Partners; and two contracts for a total of 55.6 MDth per day of capacity with the Brooklyn Naval Yard Cogen Partners (BNY). PA stated that National Grid's ability to renew these contracts is realistic. One of the two contracts between National Grid and BNY is supported by 30.6 MDth of capacity controlled by National Grid, which both KEDNY and PA include in their respective calculation of the supply stack.[24] PA also assumes National Grid will be able to retain the other contract for 25.3 MDth as a peaking supply, which represents an increase of peak day capacity over what KEDNY represented in its existing supply stack.[25] Accordingly, PA added these elements to the supply stack presented in the Petition to reflect the likelihood of KEDNY recontracting for these supplies. PA also adjusted the supply stack to reflect a fifth CNG site in Farmingdale, Long Island, that would provide 17.6 MDTh per day of peaking capacity.

Next, PA reviewed KEDNY's 2022 baseline demand forecast to assess its reasonableness. PA made certain adjustments to KEDNY's 2022 baseline forecast rather than attempt to recreate "the technically rigorous methodology" used by KEDNY.[26] PA adjusted KEDNY's forecast to incorporate the implications of the changing socio-economic environment for the

[24] PA Report, p. 27.

[25] PA Report, p. 33.

[26] PA Report, p. 34.

downstate natural gas market. PA's analysis included a detailed assessment of meter counts - a representation of the number of customers -and use per customer for the individual customer classes. Notably, KEDNY's baseline forecast for peak day in the winter of 2022-2023 was 5.2 percent lower than KEDNY's baseline forecast conducted in 2021.[27] PA's analysis took into account both this significant decrease in projected peak demand and what PA viewed as reasonable trends in the economy and the latest forecast from Moody's Analytics, further lowering the 2022 baseline another one percent.

Based on both its adjustments to the forecast of peak demand and the supply stack, PA concludes that the Project is not needed for the winter of 2026/27, as projected by National Grid. Further, PA concludes that adequate supply exists to meet a reasonable forecast of design day load until the winter of 2028/29 without the Project. PA found that adding the fifth CNG site by the winter of 2024-2025 and renewing the cogeneration peaking contracts by their current expiration dates provides a reasonable minimal supply stack.[28] Based on its analysis and assuming 18 months for construction, PA states that construction of the Project would need to begin by May 2027 to meet the need date.

NOTICE OF PROPOSED RULE MAKING

Pursuant to the State Administrative Procedure Act (SAPA) §202(1), a Notice of Proposed Rulemaking was published in the State Register on September 14, 2022 [SAPA No. 19-G-0309SP4]. The minimum time for submission of comments pursuant to the Notice expired on November 14, 2022. The Secretary

[27] PA Report, p. 13.

[28] PA Report, p. 12.

issued a notice soliciting comments and setting dates for public statement hearings.[29] Further, the Secretary extended the comment period through December 14, 2022.[30] The Department held two virtual public statement hearings on September 20, 2022, and two in-person public statement hearings on September 21, 2022. Comments have been received from Earthjustice and Environmental Justice Clinic on behalf of Sane Energy Project and Alliance for a Green Economy (SEP/AGREE), All Our Energy (AOE), New York Law School Legal Services, Inc. and National Center for Law and Economic Justice (NYLS-NCLEJ), New York University School of Law's Center on Race Inequality & the Law (NYU-CRIL), and KEDNY. Additionally, approximately 1500 written and oral public comments have been received. The comments are discussed below.

COMMENTS

Public Comments

At the September 2022 public statement hearings, the Commission received approximately 60 oral comments. Additionally, the Commission has received approximately 1,475 written comments regarding the Vaporizers 13 & 14 Project since KEDNY filed its Initial Report. With few exceptions, the commenters opposed the Project.

Key concerns stated by the commenters included environmental, climate and public safety impacts, as well as environmental justice issues associated with locating the Project near a disadvantaged community and asserting that the Project perpetuates the racist legacy of polluting communities

[29] Cases 19-G-0309 and 19-G-0310, Notice Inviting Comment and Announcing Public Hearings on Greenpoint Vaporizers 13 and 14 (issued August 29, 2022).

[30] Cases 19-G-0309 and 19-G-0310, Notice Regarding Public Comments (issued October 3, 2022).

of color. Commentors focused on the climate change concerns, including the need to move away from fossil fuels and invest in clean, sustainable energy projects. Many in opposition to the Project stated that expansion of natural gas infrastructure goes against state and local laws (e.g., the CLCPA) and New York's climate policy and goals. Additionally, commentors questioned the immediate need for the Project, citing PA's conclusion that adequate supply exists to meet forecasted demand for several more years. Commenters also raised concerns about the relationship of the Greenpoint Vaporizer project to the Metropolitan Reliability Infrastructure (MRI) project, and the lack of full environmental review for both. Lastly, commenters noted that National Grid customers are already struggling to pay their energy bills and cannot afford to pay more for this Project. While the vast majority of comments were in opposition to the Project, a few commenters provided statements in support of the vaporizers. Comments stated the need for natural gas to keep consumers safe in the winter and to avoid energy crises plaguing some states and Europe.

SEP/AGREE

In their comments, SEP/AGREE express opposition to the Vaporizers 13 & 14 Project. SEP/AGREE assert that the Vaporizers 13 & 14 Project are part of a broader group they term the "Greenpoint Expansion Projects," including the MRI project, - a portion of which the commenters refer to as the North Brooklyn Pipeline.[31] SEP/AGREE state that the Vaporizers 13 & 14 Project is not needed to close an existing supply/demand gap. Instead, SEP/AGREE assert that KEDNY proposed the Project to expand fossil fuel infrastructure.[32] Further, SEP/AGREE state

[31] Comments of SEP/AGREE, pp. 3-4.

[32] Comments of SEP/AGREE, p. 5.

that the Vaporizers 13 & 14 Project would disproportionately impact the neighboring disadvantaged community in contravention of section 7(3) of the CLCPA and, therefore, must be rejected.[33] SEP/AGREE point to existing burdens on the local community, including the Brooklyn-Queens Expressway, industrial facilities and existing pollution around Newtown Creek.[34] SEP/AGREE state that the Commission should consider the environmental health impacts of Project in addition to the existing burdens and impacts. As Exhibit B to their comments, SEP/AGREE provide a study they had commissioned entitled "Cumulative Impact Assessment of the North Brooklyn Pipeline Project."[35] Further, SEP/AGREE approvingly cite the PA Report's recommended adjustments to KEDNY's supply stack.[36] They also comment that KEDNY's "claimed benefits associated with the [Vaporizers 13 & 14] Project are small and overstated."[37] SEP/AGREE state that the PA Report is correct to evaluate the need for the Project based on the 2022 baseline demand forecast, rather than the demand forecast available in December 2019.[38] Finally, SEP/AGREE assert that the Vaporizers 13 & 14 Project will become a stranded asset as New York State and the City of New York respectively implement emissions reduction requirements of the CLCPA and Local Laws 97 and 154.[39]

AOE

In its comments, AOE expresses opposition to the Vaporizers 13 & 14 Project. AOE asserts that the Project would

[33] Comments of SEP/AGREE, pp. 8-14.

[34] Comments of SEP/AGREE, pp. 11-12.

[35] Comments of SEP/AGREE, pp. 13-14, Exhibit B.

[36] Comments of SEP/AGREE, pp. 14-16.

[37] Comments of SEP/AGREE, pp. 16-17.

[38] Comments of SEP/AGREE, pp. 17-18.

[39] Comments of SEP/AGREE, p. 19.

"increase climate emissions in the cooling and vaporizing processes, and [use] a significant amount of fuel to accomplish these feats merely for storage…."[40] Further, AOE states that the Project would be located "in an already overburdened Climate Justice community…."[41] AOE alleges that KEDNY's Initial Filing is an effort "to roll the dice and see what they can make stick under the guise of the nonsense 'safe and reliable' banner that should already be opposed by the regulators."[42]

NYLS-NCLEJ

In its comments, NYLS-NCLEJ asserts that the Vaporizers 13 & 14 Project are related to the earlier MRI Project. NYLS-NCLEJ claims that the Commission must review the potential environmental impacts of projects together.

NYU-CRIL

In its comments, NYU-CRIL opposes the Vaporizers 13 & 14 Project and asserts that it would continue to concentrate "public health risks and environmental hazards in low-income, Black and brown neighborhoods against the will of local community members."[43] Further, states NYU-CRIL, if constructed, the Vaporizers 13 and 14 Project would impose disproportionate and unjustifiable burdens on the local community, focusing on the risk of exposure to LNG and potential for incidents at the LNG facility.[44] NYU-CRIL asserts that LNG risks are "underestimated or minimized by regulators and decision-makers because of their 'low-frequency, high-consequence' nature.[45] NYU-CRIL further asserts that the Vaporizers 13 & 14 Project

[40] Comments of AOE, p. 1.

[41] Comments of AOE, p. 1.

[42] Comments of AOE, p. 2.

[43] Comments of NYU-CRIL, p. 2.

[44] Comments of NYU-CRIL, pp. 5-6.

[45] Comments of NYU-CRIL, p. 7.

would interfere with meeting the GHG emission limits of the CLCPA.[46] Finally, NYU-CRIL claim that KEDNY's "inappropriate handling of the Metropolitan Reliability Infrastructure Project" should lead the Commission to be skeptical of the Vaporizers 13 & 14 Project.[47]

KEDNY Comments Responding to the PA Report

KEDNY filed comments (KEDNY Response) in response to the PA Report, taking issue with aspects of PA's analysis and asserting that a forecast performed in 2019, when KEDNY first proposed the Project as part of its long-term plan to address the supply-demand gap, should have been used rather than the 2022 forecast. KEDNY further asserted that PA failed to fully consider safety and reliability benefits of the Vaporizers 13 & 14 Project, that demand could change quickly and did so due to the COVID-19 pandemic, and that dependence on peaking contracts may implicate unknown cost and supply issues. Ultimately, KEDNY argued that the Commission should determine that Vaporizers 13 and 14 are a prudent solution to addressing customer's long-term energy needs and enhancing system safety and reliability. Further, KEDNY stated that if the Project does not go forward in a timely manner, the Company may issue a moratorium notification under the procedures adopted in Case 20-G-0131.[48]

LEGAL AUTHORITY

Public Service Law §§5, 65, and 66 provide the Commission with general authority over gas corporations and the responsibility to ensure that gas corporations provide safe and

[46] Comments of NYU-CRIL, p. 9.

[47] Comments of NYU-CRIL, pp. 9-14.

[48] Case 20-G-0131, Proceeding on Motion of the Commission in Regard to Gas Planning Procedures, Order Adopting Moratorium Management Procedures (issued May 12, 2022).

adequate service at just and reasonable rates. This Order also relies on the process and criteria for review specified in the Rate Order.

DISCUSSION AND CONCLUSION

To ensure that utilities can continue to provide safe and adequate service to customers in New York State, the Commission reviews proposed capital projects to determine whether investments in those projects are prudent and whether a utility can recover the costs of such projects from customers. Generally, individual capital projects are reviewed in the context of a review of an overall capital expenditure budget and proposed additions to rate base in a rate case. In that context, our paramount concern is ensuring that customers who rely on utility service can securely depend on it, particularly when needed most. For gas service, relied upon by customers for heating above all else, the need is highest, and the consequences of a system failure are greatest when temperatures are the coldest. Thus, the Commission requires gas corporations to plan their systems so that they can provide safe, adequate, and reliable service under design day conditions; i.e., the potential coldest day of the year. For KEDNY's service area, the design day is based on an average temperature of zero degrees Fahrenheit, the coldest average daily temperature actually experienced in KEDNY's service territory. Arctic temperatures can hit New York City, as they did in late December of 2022 when they dropped below 10˚F.[49]

The Commission is mindful of, and has taken numerous actions to support, New York State's transition from dependency

[49] https://weatherspark.com/h/y/147190/2022/Historical-Weather-during-2022-at-New-York-City-Central-Park;-New-York;-United-States.

on fossil fuels, including natural gas, to reliance on clean energy.[50] This transition will take time and we must continue to ensure that customers who presently rely on natural gas, and who are entitled by statute to seek gas service, can continue to receive safe, adequate, and reliable service,[51] particularly on the coldest days of the year. Accordingly, while the transition to a net-zero economy proceeds in New York, some continued investments in natural gas infrastructure remain necessary.

In this Order, the Commission reviews the Vaporizers 13 & 14 Project in a very specific context. We recognize that there has been and continues to be concern about a supply/demand imbalance in the downstate region. With that concern as context, in the Rate Order, the Commission accepted the recommendation of KEDNY, KEDLI, Staff and other parties to require a separate review for the Capacity Projects, including the Vaporizers 13 & 14 Project, to assess "the need for these projects over the term of the rate plans."[52] The Rate Order explicitly tied that separate review of the Vaporizers 13 & 14 Project to whether a "(i) reasonably forecast peak customer demand requires the implementation of the [Project] to meet that demand; and (ii) alternatives that could meet that demand (or reduce or eliminate it) cannot reasonably be expected to be

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[50] See, e.g., Case 22-M-0149, Proceeding on Motion of the Commission Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act, Order on Implementation of the Climate Leadership and Community Protection Act (issued May 12, 2022); Case 20-G-0131, Proceeding on Motion of the Commission in Regard to Gas Planning Procedure, Order Adopting Gas System Planning Process (issued May 12, 2022) (Gas Planning Order); Case 20-E-0197, Proceeding on Motion of the Commission to Implement Transmission Planning Pursuant to the Accelerated Renewable Energy Growth and Community Benefit Act.

[51] PSL §§30 and 31; Transportation Corporations Law §12.

[52] Rate Order, Attachment 1 (Joint Proposal), p. 42.

available and operational in the timeframes necessary for a lower 'All-In Cost.'"[53]

Based on KEDNY's Petition and the adjustments recommended in the PA Report, the Commission finds that the Vaporizers 13 & 14 Project is not necessary to meet a reasonable forecast of peak demand until the winter of 2028/29, presuming other projects that may increase KEDNY's gas capacity are not made in the interim, such as the Iroquois Pipeline Expansion by Compression (ExC) project or incremental citygate peaking capacity.[54] Indeed, as noted above, KEDNY's demand forecast significantly changed between Spring 2021 and Spring 2022. Whereas as late as Spring 2021, KEDNY forecasted a design day demand of 2,966 MDth per day, in the Spring 2022 demand forecast update KEDNY forecast design day demand of 2,812 MDth per day, a reduction of 5.2 percent. This reduction is due to lower commercial customer demand, the anticipated impacts of New York City Local Law 154 and other adjustments to meter counts and use per customer.[55]

Just as KEDNY only recently reduced its design day forecast, the Commission is mindful that forecasts can change. Subsequent changes to the forecast of peak demand have both potential benefits and risks. The additional two years between when KEDNY asserted the Project would be needed to when the Project may be needed based on PA's assessment provide KEDNY with an opportunity to augment its efforts on energy efficiency and other demand side management programs to further delay or permanently avoid the potential need for the Project. Additionally, this period provides an opportunity to assess the

[53] Rate Order, Attachment 1 (Joint Proposal), p. 45.

[54] PA Report, p. 12.

[55] PA Report, p. 13.

impact of market and societal shifts, as well as federal, state, and local policy and legislative changes that could also delay or negate the need for the Project. At the same time, the Commission expects that KEDNY will continue to monitor its supply stack and demand forecast and report changes in both to the Commission and Staff. Should changes to the supply stack or demand forecast indicate a need for the Vaporizers 13 & 14 Project in the future, KEDNY would be able to seek cost recovery for the Project with sufficient time to complete the installation and place the vaporizers in service. For these reasons, the aspect of the Petition seeking full cost recovery related to installation of the Project is denied without prejudice for KEDNY to refile per the process approved in the Rate Order based on a change in the future demand forecast that would require the implementation of the Project to meet that demand. If KEDNY files such a petition, the Company must make a showing that it also made the appropriate efforts required under the Rate Order to implement its energy efficiency and other demand side management programs prior to refiling. To be clear, the petition-process established per the Rate Order relates to KEDNY's 2019 rate case and does not foreclose the Company from making other reliability- and/or safety-based arguments in support of the Project in a future rate filing.

Prior to addressing KEDNY's arguments in opposition to the PA's recommendation and public comments, the Commission must also make findings under CLCPA §7(2) and (3). Because the Commission is not approving the Vaporizers 13 & 14 Project for cost recovery, the Commission finds that its determination in this respect is not inconsistent with the attainment of the statewide GHG gas limits established in ECL Article 75. Indeed, the Commission views the overall impact of this Order as being consistent with both CLCPA §7(2) and PSL §65(1), which requires

the Commission to ensure utility service that is "safe and adequate," particularly given the requirements for KEDNY to continue its focus on reducing demand through further implementation of its energy efficiency and demand response programs. The Commission's denial of the Petition is also consistent with CLCPA §7(3) because the denial will in no way disproportionately impact disadvantaged communities.

As noted, KEDNY raised several arguments in opposition to the recommendations made in the PA Report, in its formal response (Response) to the report, filed on December 2, 2022. The Commission addresses each of the assertions made in the Response in the following sections.

PA's Adjustments to Forecasted Peak Demand

In its Response, KEDNY first asserts that the appropriate vintage for the forecast of peak demand is from 2019/20, at the time KEDNY first proposed the Vaporizers 13 & 14 Project. As stated above, however, the Joint Proposal's terms adopted in the Rate Order specified an assessment that would consider the "most recent forecast available".[56] It did not qualify or limit that forecast as having been available at a single, particular point in the past. Additionally, the assessment also judged whether "alternatives that could meet that demand (or reduce or eliminate it) cannot reasonably be expected to be available and operational in the timeframes necessary…."[57] This is stated in the present tense demonstrating that the review required by the Rate Order was not intended to tie a Capacity Project need to an outdated demand forecast.

Indeed, the Joint Proposal also noted that the assessment would consider "the Companies' forecasts for gas

[56] Rate Order, Attachment 1 (Joint Proposal), p. 45.

[57] Rate Order, Attachment 1 (Joint Proposal), p. 45.

demand (as updated annually during the rate plans)".[58] Furthermore, the Rate Order explains that the review process and the Capacity Metrics together incentivize "the Companies to take aggressive energy efficiency, demand response, electrification, and other measures that will offset gas capacity needs, which could delay or entirely mitigate the need for the projects and additional gas supply infrastructure."[59] Such an incentive could only work if the assessment of a Capacity Project judged its need to meet the most recent forecast of peak demand, updated throughout the rate plan.

KEDNY also asserts in its Response that PA's reliance on a single year's demand forecast that was based on the impacts of the COVID-19 pandemic does not comport with industry practice. KEDNY states that long-term gas system planning must consider years of operational and weather data to provide meaningful insights. The Commission disagrees with KEDNY's arguments supporting reliance on its prior demand forecast. As already noted, PA's adjustment to KEDNY's 2022 baseline forecast of peak demand is reasonable. The fact that the COVID-19 pandemic has slowed economic growth is a real-world impact and it is entirely reasonable for that impact to be considered in adjusting the demand forecast. Indeed, it is hard to understand how KEDNY may consider this impact in its own forecast but then expect the Commission to ignore it. The Commission also finds reasonable PA's more minor adjustments to the demand forecast to account for revised meter counts for each major customer class based on published trends from Moody's Analytics and revised use-per customer amounts for each major customer class based on weather normalized annual use per customer.

[58] Rate Order, Attachment 1 (Joint Proposal), p. 42.

[59] Rate Order, p. 121.

KEDNY further asserts in its Response that PA's assessment and the order regarding a different Capacity Project, the Southeast Suffolk Project, Phase 1 (SE Suffolk Project), relied on the forecast available at the time KEDLI constructed that project, rather than subsequent forecasts of peak demand. This claim is inapposite as the SE Suffolk Project was completed and in service at the time PA assessed it and the Commission issued the SE Suffolk Order authorizing cost recovery.[60] KEDLI had completed construction of the SE Suffolk Project in 2022 so that it would be in place to serve the forecasted need in the winter of 2022/23, the winter following completion of construction.

With respect to the SE Suffolk project, the Commission also noted that the forecast of peak demand necessitated action and expressed as a "core concern" that "the gas system downstream of the SE Suffolk Project was already experiencing difficulty maintaining minimum design pressure levels due to growing demand in the area."[61] Additionally, the Commission noted that "even if there was a slight reduction in demand for the 2022/2023 winter heating season, the SE Suffolk Project would still be needed to serve anticipated customer demand on design day."[62] In contrast, while KEDNY has taken steps toward completing the Vaporizers 13 & 14 Project, including purchasing the vaporizers themselves, further work and expense is required

[60] SE Suffolk Order, pp. 5-6. KEDLI completed installation of the mains for the SE Suffolk Project in September 2021 and installed an associated regulator station in February 2022. KEDLI made its initial filing kicking off PA's assessment of the SE Suffolk Project on February 8, 2022. PA filed its report regarding the SE Suffolk Project on March 25, 2022, and the Commission issued the SE Suffolk Order on July 14, 2022.

[61] SE Suffolk Order, pp. 15-16.

[62] SE Suffolk Order, p. 16.

to complete the Project. Moreover, in the review of the SE Suffolk Project, the Commission stated that PA's critique of KEDNY and KEDLI's demand forecasting is relevant for future projects.[63] Accordingly, the Commission finds that it is appropriate to review the Vaporizers 13 & 14 Project against the 2022 vintage design day forecast, rather than a prior forecast as asserted by KEDNY.

In sum, the Commission concludes that PA's analysis appropriately includes demand data that reflects reasonable economic trends in KEDNY's service territory since the inception of the pandemic. Furthermore, PA's analysis produces a solution that maintains reliability of the natural gas distribution system in KEDNY's service territory, while controlling bill and delivery rate impacts on ratepayers and recognizing the requirements of the CLCPA to reduce greenhouse gas emissions.

Reasonableness of PA's Additions to Supply Stack

As noted above, PA made certain adjustments to KEDNY's supply stack and forecast of demand and concludes that Vaporizers 13 & 14 may be needed only as of winter 2028/29. In its Response, KEDNY argues that the Commission should not accept PA's adjustments. Specifically, KEDNY takes issue with PA's adjustments to the supply stack to reflect the continuation of two peaking contracts with Cogens. In this respect, KEDNY asserts that in an increasingly tight supply market, there is no guarantee these contracts will be available for renewal at a reasonable cost to customers.[64] The Commission finds that the level of risk associated with the continuation of these contracts is acceptable, given that these contracts are not new and KEDNY has relationships for several years with the two

[63] SE Suffolk Order, p. 16.

[64] KEDNY Response, pp. 4-5.

Cogens, located in KEDNY's service territory, , making it unlikely that the capacity involved in these contracts would be as attractive to entities other than local distribution companies. Indeed, KEDNY provided no specific basis underlying its concern regarding the availability of the two contracts, and there are relatively few large entities that would compete against National Grid for access to the gas volumes.[65] Also, since KEDNY and Consolidated Edison Company of New York, Inc. (Con Edison) jointly operate natural gas facilities serving New York City, it is unlikely that Con Edison would gain any advantage by attempting to secure the Cogen peaking arrangements for itself.

KEDNY also takes issue with PA's increase in the supply stack to reflect peak day supply from the Farmingdale CNG. KEDNY asserts that LNG is more reliable than CNG given CNG's dependence on factors beyond the utility's control. However, in this instance, the question is not whether to move forward with either additional vaporizers or new CNG injection sites. The Farmingdale CNG station is already constructed and will be tested in the near future before being placed in service. Thus, it is appropriate to reflect Farmingdale's supply in the supply stack available to meet forecasted peak customer demand.

In addition, PA's supply stack assessment may turn out to be conservative. PA points out that there are other possible sources of supply on the horizon, including the ExC project and renewal of citygate peaking supplies, which could add an incremental 62.5 MDth and 20 MDth per day respectively to KEDNY's service area. However, given that the ExC project does not have all of its permits and citygate peaking supplies are

[65] PA Report, p. 28.

subject to annual renewals and therefore are not considered long-term sources of supply, PA did not include them in its supply stack. For these reasons, the Commission finds PA's recommended changes to the supply stack to be reasonable.

Appropriate Consideration of Safety and Reliability

KEDNY asserts in its Response that there are safety and reliability benefits to the Vaporizers 13 & 14 Project, which the PA Report did not adequately evaluate and the Commission should consider. Specifically, KEDNY states that the Project would provide on-system reliability in the event of a supply disruption and would enable more efficient extraction of LNG from the existing tanks using proven technology. KEDNY opines that, since gas distribution systems operate with no supply contingencies or reserve margin, projects that can leverage existing infrastructure to support peak operations are important to ensuring reliability and resiliency. The Company further points to the Commission's position in a related Order to Show Cause, where we found that "…all gas utilities should consider single points of failure on the interstate gas system and have contingency plans in place to ensure such changes do not negatively impact the reliability of its system. Given the current situation, it is clear that relying solely on peaking services for contingencies is a questionable approach to ensuring reliability."[66]

The Commission agrees that reliability is important to supply planning and continues to hold the position stated in its prior order. However, gas supply planning is not the only

[66] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, Order Instituting Proceeding and to Show Cause (issued October 11, 2019) (Order to Show Cause), p. 5.

mechanism by which to ensure the reliability of the gas system; slowing the growth and ultimately reducing demand of that system is at least as important. The sentence immediately following the one quoted by KEDNY from the Order to Show Cause makes this precise point:

> The Department's investigation indicates that, had National Grid invested more heavily over the past two or more years in demand response, energy efficiency, and local compressed natural gas and renewable natural gas solutions, then there would be a greater cushion to absorb unanticipated operational changes on the interstate pipeline system.[67]

Since 2019, when the Commission issued the aforementioned Order to Show Cause, National Grid has made many efforts to further diversify its supply portfolio for KEDNY and KEDLI by adding compressed natural gas facilities, and enhancing their energy efficiency initiatives and demand response efforts. For example, as the Petition states, "…the Companies have made good progress implementing a portfolio of non-infrastructure solutions to reduce customers' gas consumption, particularly on a peak day and peak hour basis. The Companies met or exceeded the annual targets for all five metrics – demand response, non-pipe third party solutions, electrification, and leak-prone pipe NPAs – in Rate Year 2. They have met two of the Rate Year 3 metrics and are on track to meet two others."[68]

The Commission expects that KEDNY will move forward at a rapid pace to fully develop its nascent weatherization programs and strengthen its demand-side management portfolio, as discussed in the Commission's recent order regarding KEDNY's incremental demand-side management programs.[69] Indeed, KEDNY's

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[67] Order to Show Cause, pp. 5-6.

[68] Petition, p. 40.

[69] Cases 19-G-0309 and 19-G-0310, Order Regarding Incremental Demand-Side Management Programs (issued January 19, 2023).

acceleration of its energy efficiency and demand response programs will further reduce the forecast of peak demand, and either delay or potentially prevent the need for the Project.

Additionally, the Commission recognizes that there are circumstances under which Project may be needed in the future, including demand continuing to grow and additional supplies like ExC being delayed or scrapped. Accordingly, the Commission directs KEDNY to apprise the Commission, Staff, and stakeholders of the potential future need for this Project in its gas long-term plan and annual updates as provided for in Case 20-G-0131. KEDNY must file its initial gas long-term plan by May 31, 2024, and must file annual updates by May 31 in the following two years.[70] Staff will also continue to review annual winter preparedness and National Grid will identify peak day supply gaps and plans to close such gaps. If concerns are appropriately identified in the winter preparedness reviews, we expect that Staff will inform the Commission in a timely fashion.

Costs of the Vaporizers 13 & 14 Project

KEDNY has spent approximately $49.3 million or 70 percent of the forecasted total Project cost through November 2022. The Company has also spent approximately $0.35 million for the costs of the independent consultant, PA. Of the $49.3 million in capital spend, approximately $10.2 million is related to engineering, design, permitting, and associated overhead and interest. The remaining $39.1 million is related to procurement, construction, equipment, and associated overhead.

Even where the Capacity Projects are not needed to meet a reasonable forecast of peak demand, the Rate Order provides for the recovery of certain costs associated with these

[70] Gas Planning Order, pp. 21, 65.

projects through the DCSM.[71] The Rate Order allows KEDNY to recover the design, engineering, permitting, and associated overhead and interest costs, as well as the costs of the independent consultant, through the DCSM. Accordingly, the Commission authorizes KEDNY to recover $10.5 million through the DCSM over a 12-month period beginning on July 1, 2023.

The Joint Proposal adopted by the Rate Order states that the Companies are required to file the DCSM statement to become effective on July 1 of each year to effectuate any cost recoveries. As such, the Company shall file on no less than five days' notice the DCSM statement and the associated workpapers used to calculate the surcharge rate.

As noted above, KEDNY has incurred additional capital costs of approximately $39.1 million for the Project through November 2022. The Project is not in service. However, as stated above, the Commission recognizes that the Project may be needed to meet peak customer demand in the future. Accordingly, KEDNY shall continue to account for these remaining capital costs as part of Construction Work In Progress and the costs will accrue interest consistent with the Allowance for Funds Used During Construction. The Commission will address the remaining Project costs, and any associated cost recovery, in a future proceeding once it is known whether or not the Project will ultimately be constructed and placed in service.

Finally, the Commission addresses the certain claims raised in comments filed in this case related to MRI,— an existing pipeline that operates at 350 psig in Brooklyn and loops the pre-existing Brooklyn Backbone pipeline. KEDNY

[71] The carrying costs include return on the rate base associated with the capital investments and depreciation expense.

proposed MRI in its rate request filed in 2016,[72] and Phases 1-4 of the project were reflected in the capital budgets included in the joint proposal adopted by the Commission in its rate order in that proceeding in December 2016.[73] As originally planned by KEDNY, MRI included a fifth phase of development. Phase 5 of the project would have created a second connection to the Brooklyn Backbone near the Greenpoint Energy Center with KEDNY's 350 psig system. A portion of that fifth phase was constructed; however, it has not been completed and the Commission is not aware of any plans KEDNY may have to pursue its completion in the future. Additionally, the Commission has not approved any cost recovery related to Phase 5 of the MRI project.

The MRI project is irrelevant to the Petition at issue here, which seeks approval of the cost recovery for the Vaporizers 13 & 14 Project only. Whereas MRI was proposed and addressed in the 2016 rate proceeding, KEDNY only first proposed the Vaporizers 13 & 14 Project nearly four years later in its 2019 rate proceeding.[74] Additionally, Vaporizers 13 & 14, if constructed, would connect to KEDNY's 60 psig system, not its 350-psig system. Thus Vaporizers 13 & 14 cannot physically connect to or directly utilize or impact MRI.

As for claims raised in public comments related to the environmental impacts of MRI Phases 1-4 (i.e., the aspects of that project now already in service), the Commission notes that

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[72] 16-G-0058 and 16-G-0059, KEDNY and KEDLI – Rates, Testimony of Gas Infrastructure and Operations Panel Book 4 – KEDNY (filed January 29, 2016), pp. 82-84.

[73] 16-G-0058 and 16-G-0059, supra, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016).

[74] 19-G-0309 and 19-G-0310, GIOP SS Filing Package - Second Supplemental Testimony of Gas Infrastructure and Operations Panel (filed December 13, 2019), p. 14.

any claims raised now were not raised at the proper time or in the proper forum – KEDNY's 2016 rate case. In short, commenters did not exhaust or pursue administrative remedies, and they are administratively barred from attempting to resuscitate the issue here six years later.[75] Moreover, the time to seek review of the 2016 rate case has long passed.[76] In any event, the Commission was not required to examine the environmental impacts of MRI Phases 1-4 under the State Environmental Quality Review Act (SEQRA), ECL Article 8, because the environmental impacts associated with capital projects proposed for rate recovery in a rate case are exempt from review under SEQRA.[77] It is important to stress that rate cases are limited to approving the cost recovery of capital projects. The authority for a utility to undertake a pipeline infrastructure project located within a public right-of-way typically requires permits from local authorities. KEDNY, for example, needed and obtained multiple

[75] E.g., KLCR Land Corp. v. Public Service Com'n of State of New York, 20 A.D.3d 849 (3d Dep't 2005) (failure to exhaust administrative remedies).

[76] CPLR §217(1); Riverkeeper, Inc. v. Crotty, 28 A.D.3d 957 (3d Dep't 2006) (applying CPLR §217(1)); see also Kopald v. New York State Public Service Commission, 204 A.D.3d 1108 (3d Dep't 2022) (mootness).

[77] See 6 New York Code, Rules and Regulations (NYCRR) §617.5(a) (authorizing agencies to exempt from SEQRA review categories of actions that "have been determined not to have a significant impact"); 16 NYCRR 7.2(b)(2)(ii) (exempting from SEQRA review "practices by utilities concerning administration and management of utility functions, including … the preparation of tariff schedules"); Matter of Citizens for an Orderly Energy Policy, Inc. v. Cuomo, 159 A.D.2d 141, 160 (3d Dep't 1990) ("no requirement for review pursuant to [SEQRA] of rate decisions by the Public Service Commission, since the Commission's SEQRA regulations characterize that agency's actions relating to utility tariff schedules as Type II actions under SEQRA").

approvals from New York City-based administrative authorities prior to commencing construction of MRI Phases 1-4.[78]

The Commission also wishes to address three claims alleged by NYU-CRIL related to the safety of MRI to ensure that the public understands that MRI was properly tested in accordance with regulatory requirements and is being operated in a safe manner. The first of these claims – that KEDNY placed the MRI into service without any pressure tests – is completely unfounded and lacks a factual basis.[79] The pipe testing requirements related to MRI are provided in 16 NYCRR §255.503(a), which specifies that "[n]o person may operate a new segment of pipeline … until it has been tested … to substantiate the proposed maximum allowable operating pressure and each leak has been located and eliminated.". Section 255.505 of the regulations provides the acceptable tests for segments of steel pipe intended to operate at a pressure of 125 psig or greater, and specifies that "[t]ests under this section are not considered as satisfactorily accomplished unless certified by an inspector of the department." Department Staff certified that the tests were satisfactorily conducted by KEDNY prior to Phases 1-4 of MRI being placed in service.

NYU-CRIL's second claim, that KEDNY did not provide a unique operations and maintenance (O&M) plan for the MRI, is also unfounded.[80] The relevant provision of law at issue – 16 NYCRR §255.603 – does require a pipeline operator, such as KEDNY, to have and file a detailed written O&M plan for complying with gas safety requirements for its system as a whole

[78] See the Appendix to this Order, which contains the response of KEDNY and KEDLI to information request NONBKPIPELINE-1, provided on September 11, 2020.

[79] Comments of NYU-CRIL, p. 12.

[80] Comments of NYU-CRIL, p. 12.

before it commences operations of a pipeline system. Notably, however, a unique O&M plan is not required for each individual pipeline in a utility service territory. Pipeline operators comply with the filing requirement by providing Staff with direct secure digital access to their O&M plan. Additionally, Staff periodically reviews and audits the O&M plans for compliance with gas safety regulations. In fact, Staff has reviewed KEDNY's O&M plan, including any portions relevant to MRI Phases 1-4, since KEDNY placed that pipeline into service.

NYU-CRIL's third claim – that KEDNY did not provide mapping data to the United States Department of Transportation's Pipeline and Hazardous Materials Safety Administration's (PHMSA) National Pipeline Mapping System – misconstrues the relevant regulatory requirements.[81] Pipeline operators are only required to provide mapping data to PHMSA for the National Pipeline Mapping System for transmission pipelines. PHMSA defines transmission pipelines as having a relative stress on the pipeline of greater than 20 percent Specified Minimum Yield Strength (SMYS).[82] KEDNY designed and constructed MRI Phases 1-4 with a greater wall thickness of pipe than necessary. As a result, the relative stress on MRI is less than 20 percent SMYS, and MRI does not fall under requirements for transmission pipelines operating at above 20 percent SMYS.[83] Accordingly, KEDNY is not required to submit mapping data related to MRI Phases 1-4 for inclusion in the National Pipeline Mapping System. It is also important to note that KEDNY's determination

[81] Comments of NYU-CRIL, p. 12.

[82] 49 CFR §192.3.

[83] 49 CFR §191.29.

to use a safer design means that MRI is a pipeline that carries a lower risk.[84]

CONCLUSION

The Petition is denied except to the extent of approving limited cost recovery and without prejudice as discussed in the body of this Order.

The Commission orders:

1. The request of The Brooklyn Union Gas Company d/b/a National Grid NY for a finding that Vaporizers 13 & 14 Project is necessary to meet a reasonable forecast of peak customer demand by the winter of 2024/25 and general cost recovery related to the project through the Demand Capacity Surcharge Mechanism is denied consistent with the discussion in the body of this Order.

2. The Brooklyn Union Gas Company d/b/a National Grid NY shall include a discussion of the potential future need for the Vaporizers 13 & 14 Project in its gas long-term plan and annual update filings as provided for in Case 20-G-0131 and consistent with the discussion in the body of this Order.

3. The Brooklyn Union Gas Company d/b/a National Grid NY is authorized to recover the design, engineering, and permitting costs, as well as the costs of the independent consultant related to the Vaporizers 13 & 14 Project, through the Demand Capacity Surcharge Mechanism over a 12-month period beginning July 1, 2023, consistent with the discussion in the body of this Order.

[84] National Grid does consider MRI in its integrity management programs and performs enhanced leakage surveys, risk analyses, and other integrity assessments.

4. The Brooklyn Union Gas Company d/b/a National Grid NY shall file its updated Demand Capacity Surcharge Mechanism Statement to be effective July 1, 2023, on not less than five days' notice, together with the associated workpapers used to calculate the carrying costs and surcharge rate.

5. In the Secretary's sole discretion, the deadlines set forth in this Order may be extended. Any request for an extension must be in writing, must include a justification for the extension, and must be filed at least three days prior to the affected deadline.

6. These proceedings are continued.

By the Commission,

(SIGNED) MICHELLE L. PHILLIPS
Secretary

Date of Request: August 11, 2020 Request No. NONBKPIPELINE- 1
Due Date: August 26, 2020 NG Request No. NG-1465

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: Katherine Conkling Thompson

TO: National Grid

SUBJECT: Permits generally needed for construction of the MRI and other infrastructure

Request:

A. Please provide a list of all necessary permits for National Grid (the Companies) must obtain for each of the following projects:

1. The Metropolitan Reliability Infrastructure Project Phases 1-3
2. The Metropolitan Reliability Infrastructure Project Phase 4
3. The Metropolitan Reliability Infrastructure Project Phase 5
4. Two new LNG vaporizers and LNG trucking capabilities at the Company's Greenpoint facility
5. The Cloves Lake Transmission Loop
6. The Glenwood CNG facility expansion
7. Two new CNG facilities in Inwood and Barrett
8. Potential capacity from Iroquois Pipeline expansion
9. Expanded transmission in Riverhead and Southeast Suffolk Co.

B. For each permit needed for the projects listed above, please indicate the status of the permits, for example whether they are obtained, pending approval, or pending application.

C. Please provide copies of all permits that have been obtained.

Response:

A-B. Generally, the types of permits needed differ by project based upon scope of work, authorities having jurisdiction, and site conditions. Permits needed for typical construction projects may include, among others:

- NYC DOT permits: For installation of pipe on the street including; managing traffic, material storage, etc.

- DEP permits: For hydrotest and discharging hydrotest water.
- Parks Department Permits: For protection of trees and bioswales.
- MTA Approval: For crossing subway and MTA infrastructure.
- DOB Permits: For pig launcher site.

Please see the list below for the permits required for the requested projects as well as their respective statuses. In addition to the permits listed in this section, the Companies continue to engage with local municipalities and decisional agencies to finalize requirements and ensure submissions of any ministerial permits, approvals, or other local requirements throughout a project's construction and operation (cooperative training with first responders, curb cuts, road openings, etc.).

1. The Metropolitan Reliability Infrastructure Project Phases 1-3
   - These projects are complete and do not currently require any permits.

2-3. The Metropolitan Reliability Infrastructure Project Phase 4 & 5
   - Obtained: DEP Water Discharge Permit
   - Obtained: Parks Department Permit
   - Obtained: DOB Building Permit
   - Additionally, permits have been obtained throughout the route of the project for each individual block and intersection, etc. separately for road openings, intersection, traffic, material storage, etc.

4a. New LNG Vaporizers at the Company's Greenpoint Facility (Units 11 and 12)
   - Obtained: DOB Building Permit
   - Obtained: DEC Air Permit
   - Pending Approval: DEP Air Permit
   - Other: FDNY – Mechanical Package, Variance, Alarm, Detection, Suppression

4b. LNG Trucking Capabilities at the Company's Greenpoint Facility
   - Pending Application: DOB Building Permit
   - Other: FDNY – Mechanical Package, Variance, Alarm, Detection, Suppression

5. Cloves Lake Transmission Loop
   - This project is currently at a conceptual stage of development and permitting requirements have not yet been identified.

6. Glenwood CNG Facility Expansion
   - Processing: Stormwater Pollution Prevention Plan (SWPPP). We received the MS4 document that approves the plan, but are awaiting the final issuance of the Acknowledgment of Notice of Intent from the DEC.
   - Obtained: Variance of Use Processing – Building Permit. The Company has been notified that this permit has been approved by the Town of Oyster Bay, but we are awaiting the final issuance of the building permit.

7a. CNG Facility in Inwood

- Obtained: Stormwater Pollution Prevention Plan (SWPPP) filed with the DEC, after approval by the Town of Hempstead.
- Obtained: NYS DEC SPDES-Equivalency Permit
- Obtained: Notice to FAA due to proximity to the JFK International Airport.
- Obtained: Town Curb Cut Permit

7b. CNG Facility at Barrett

- Obtained: DEC State Air Permit
- Obtained: Stormwater Pollution Prevention Plan (SWPPP) filed with the DEC, after determination of non-jurisdiction by the Town of Hempstead.

8. Potential Capacity from Iroquois Pipeline Expansion

- This is not a National Grid project and the permits associated with its development are not known to the Companies.

9. Expanded transmission in Riverhead and Southeast Suffolk Co.

- Submitted: NYS DOT Work Permit
- Obtained: Stormwater Pollution Prevention Plan (SWPPP) filed with the DEC, after approval by the Town of Southampton.

C. The permits that have been obtained are provided as Attachment 1.

Name of Respondent: Date of Reply:
Christopher Connolly September 11, 2020